LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

WHAT IS BUYER'S CREDIT?

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Chapter 1: Product Overview & Historical Context of Buyer's Credit in India

Buyer's Credit represents a vital cross-border trade finance facility that enables Indian importers to secure short-term funding from overseas financial institutions. Under standard trade finance principles, when a domestic corporate imports raw materials, capital goods, or components from a global supplier, it faces a systemic cash-flow mismatch. The supplier requires immediate payment to release the goods, whereas the importer requires several months to process, manufacture, distribute, and realize domestic sales proceeds. Buyer's Credit bridges this structural gap by arranging for an overseas bank or financial institution to pay the foreign supplier at sight, while allowing the importer a flexible usance period to repay the overseas lender.

Historically, the Indian trade credit market relied heavily on a credit-support instrument known as the **Letter of Undertaking (LoU)** or **Letter of Comfort (LoC)**. In a typical historical transaction, the domestic importer would approach their local Indian bank (the issuing bank), who would issue an LoU transmitted via the SWIFT network (primarily via MT799 or MT760 messages) to an overseas branch of another Indian bank or a foreign financial institution. This LoU contractually guaranteed that the domestic issuing bank would repay the overseas lender on usance maturity, covering both the principal and interest. Armed with this sovereign-like bank guarantee, the overseas lender would immediately disburse low-cost foreign currency (such as USD, Euro, or JPY) to the foreign supplier's bank. Because the credit risk was borne entirely by the domestic issuing bank, the foreign lender charged minimal credit spreads over interbank benchmarks (such as LIBOR). This structure provided domestic corporates with a powerful avenue to access deep pools of offshore liquidity, dramatically reducing their cost of working capital below local Rupee interest rates.

However, this historical model was severely disrupted in **March 2018** following the discovery of the multi-billion-dollar systemic fraud at Punjab National Bank (PNB), involving the unauthorized issuance of fraudulent LoUs. The fraud exploited a critical control vulnerability: the bank's SWIFT messaging terminal operated independently and was not integrated with the core banking system (CBS). Consequently, credit officers issued billions of Rupees worth of LoUs via SWIFT without logging the corresponding contingent liabilities, margins, or collateral requirements in the bank's general ledger. When these fraudulent guarantees matured, the bank faced immediate default claims from the overseas lending branches that had funded the imports in good faith. In response to this systemic risk and to protect the integrity of India's balance of payments, the **Reserve Bank of India (RBI) issued a landmark circular on March 13, 2018, banning the issuance of Letters of Undertaking (LoUs) and Letters of Comfort (LoCs) for trade credit.**

This regulatory intervention completely reshaped the landscape of Indian import finance. While the absolute ban on LoUs eliminated the unbacked guarantee channel, it did not eliminate the underlying commercial demand for buyer's credit. To keep Indian trade

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competitive, the RBI preserved other globally recognized and structurally integrated trade instruments. Today, the modern, compliant architecture of Buyer's Credit is structured through: (1) **Standard Letter of Credit (LC) Backing**, where the domestic bank issues a Usance LC that acts as the primary credit guarantee, (2) **Bank Guarantees (BGs)** issued in strict compliance with cross-border prudential limits, and (3) **Co-acceptance or Avalization of Trade Bills**. Under the current RBI Master Directions on Trade Credit (2019, updated periodically), Buyer's Credit is formally defined as a short-term trade credit arrangement where an overseas bank or financial institution extends debt to an Indian importer, backed by an institutional trade instrument that is fully logged and integrated within the bank's core banking database.

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Chapter 2: Buyer's Credit vs. Supplier's Credit – The Definitive Taxonomy

To master cross-border trade credit, finance professionals must establish a clear distinction between the two primary pillars of short-term import financing: **Buyer's Credit** and **Supplier's Credit**. While both structures provide deferred payment facilities to the domestic importer and secure immediate cash for the foreign exporter, they differ fundamentally in their contractual relationships, funding sources, legal documentation, and underwriting focuses.

In a **Supplier's Credit** structure, the deferred payment terms are extended directly by the foreign exporter (the seller) to the domestic importer. The exporter permits the importer to pay for the shipment after a specified usance period (e.g., 90 or 180 days). To bridge its own cash-flow gap, the exporter discounts the accepted usance bills of exchange or letters of credit with its own local bank or an offshore factoring house. Here, the primary financing arrangement is a bilateral contract between the seller and its bank, and the importer simply repays the supplier on usance maturity. In contrast, in a **Buyer's Credit** structure, the deferred payment is financed by an independent third-party overseas financial institution. The importer actively arranges for an overseas bank to extend a loan in foreign currency to settle the import invoice. The loan proceeds are paid directly to the supplier's bank on behalf of the importer. The importer then enters into a direct borrowing relationship with the overseas lending bank, usually guaranteed by its domestic bank via an LC or trade credit guarantee.

The following taxonomy table provides a detailed, multi-dimensional comparison of these two structures:

COMPARATIVE PARAMETER	BUYER'S CREDIT (BC)	SUPPLIER'S CREDIT (SC)
Initiator of Program	The Indian importer actively arranges the offshore funding through its domestic bank.	The foreign exporter extends deferred terms and discounts the bills with its bank.
Underlying Contract	A direct, separate trade loan agreement between the importer and the overseas lending bank.	Integrated within the primary commercial sales contract as a usance/deferred payment clause.

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Primary Risk Bearer	The domestic bank (LC Issuing Bank) guarantees the credit risk of the importer to the overseas lender.	The exporter's bank or factoring house bears the risk, backed by an accepted LC/trade bill.
Pricing Benchmark	SOFR or other Risk-Free Rates plus a localized offshore credit spread (max SOFR + 250 bps).	Usually priced implicitly into the commercial invoice value or listed as a distinct discounting charge.
Billing & Settlement	Overseas bank pays supplier at sight; importer repays overseas bank on usance maturity.	Exporter ships goods, accepts usance bill; importer pays exporter directly on maturity.
Documentation Complexity	High: Requires LC issuance, Swift MT799/MT760/MT700, Trade Loan Agreement, and Trust Receipts.	Medium: Leverages standard sales contracts, letters of credit, and usance bills of exchange.
Accounting Treatment	Classified as an active Foreign Currency Bank Borrowing on the importer's balance sheet.	Classified under standard Trade Payables until usance maturity unless reclassified under Ind AS 109.

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Chapter 3: How the Product Structure Works: The Tripartite Transaction Flow

The operational success of a Buyer's Credit facility relies on a carefully synchronized, tripartite relationship between: (1) **The Indian Importer and its Domestic Bank (the Issuing Bank)**, (2) **The Foreign Supplier and its Export Bank**, and (3) **The Overseas Lending Bank (the Financier)**. To ensure complete risk mitigation, the physical movement of trade goods is entirely decoupled from the financial and communication flows. Banks communicate strictly through secured, authenticated SWIFT channels, ensuring that funds are never diverted from their designated commercial purpose.

The transaction lifecycle consists of five highly integrated operational phases:

1. Commercial Contract & LC Issuance:

The Indian importer and the foreign supplier execute a commercial purchase agreement specifying 'Payment via Sight Letter of Credit with Buyer's Credit option'. The importer then approaches its domestic bank to establish a non-revolving, transaction-specific import LC. Once the domestic bank completes credit appraisal and blocks the necessary collateral/margins, it transmits the LC via SWIFT MT700 to the supplier's advising bank. The supplier, assured of payment under the LC, ships the goods and submits the shipping documents (Bill of Lading, Invoice, Packing List, Certificate of Origin) to its advising bank for presentation to the Indian issuing bank.

2. Buyer's Credit Arranging & Quote Solicitation:

Upon receiving and verifying the shipping documents, the domestic bank confirms that the transaction is fully compliant with the LC terms. At this point, the importer or the domestic bank's treasury desk solicits financing quotes from overseas branches of Indian banks (e.g., SBI London, Bank of Baroda Dubai) or global trade banks. The overseas lender responds with a **Letter of Offer (LO)** specifying the financing terms, including the principal loan value, usance tenure (typically 90 to 360 days), and the all-in interest rate (e.g., 3-Month SOFR + 120 basis points).

3. Trade Loan Agreement & SWIFT Guarantee Transmission:

Once the importer accepts the Letter of Offer, the domestic bank transmits an authenticated SWIFT message (typically **MT799** or **MT760**) to the overseas lending bank. This SWIFT message acts as the official credit guarantee, committing the domestic bank to unconditionally repay the principal and accrued interest on usance maturity. Simultaneously, the importer executes a local Trade Loan Agreement with the domestic bank, backed by a **Trust Receipt** that grants the domestic bank a continuous legal charge over the imported goods during transit and processing.

4. Offshore Disbursal & Seller Settlement:

Upon receipt of the domestic bank's SWIFT guarantee and the signed Trade Loan documents, the overseas lending bank immediately disburses the foreign currency (e.g., USD

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or JPY). The funds are wired directly through standard clearing channels (such as CHIPS or Fedwire) to the foreign supplier's bank, thereby settling the sight payment obligation. The domestic bank then releases the original shipping documents to the importer, enabling them to execute customs clearance at the Indian port and take physical possession of the cargo.

5. Usance Maturity & Escrow Sweep:

During the usance period (e.g., 180 days), the importer processes, manufactures, and sells the imported goods in the domestic market, accumulating Rupee revenue. Prior to the maturity date, the importer is contractually required to deposit sufficient Rupee funds into their trade account. On usance maturity, the domestic bank converts the Rupees into foreign currency at the prevailing spot rate and transmits the total repayment (principal + accrued interest) via SWIFT **MT202** to the overseas lending bank, completing the transaction loop.

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Chapter 4: Regulatory Underpinnings & RBI Master Directions on Trade Credit

Buyer's Credit in India operates within a strict regulatory framework designed to maintain foreign exchange stability, prevent capital flight, and mitigate systemic banking risks. The primary statutory pillars governing these transactions are the **Foreign Exchange Management Act (FEMA), 1999**, and the **Reserve Bank of India (Commercial Banks - Credit Risk Management) Directions, 2025**.

Under the RBI's Master Directions on Trade Credit, several non-negotiable parameters are enforced:

- **Permissible Usance Tenures:**

The maximum tenure for trade credit is strictly linked to the underlying commercial use of the imported goods. For the import of **all raw materials, components, and consumer goods**, the maximum permissible tenure is capped at **1 year (365 days)** per transaction from the date of shipment. For the import of **capital goods (machinery, equipment, plant fixtures)**, the maximum tenure is extended to **3 years (1,095 days)** from the date of shipment, aligning the financing structure with the asset's longer depreciation lifecycle.

- **Interest Rate Cap (All-In-Cost Ceiling):**

To protect domestic importers from predatory offshore pricing and to prevent excessive foreign currency exposure, the RBI enforces a strict interest rate ceiling. The all-in-cost for trade credits—including interest, arranger fees, and agent commissions—is capped at **benchmark Risk-Free Rate (RFR) plus 250 basis points (2.50% p.a.)**. Following the global transition away from LIBOR, the benchmark RFR for USD transactions is the **Secured Overnight Financing Rate (SOFR)**; for GBP, it is the **Sterling Overnight Index Average (SONIA)**; and for EUR, it is the **Euro Short-Term Rate (€STR)**.

- **Guarantee Issuance Controls:**

Following the 2018 reforms, domestic banks are prohibited from issuing unbacked LoUs or LoCs. However, Authorised Dealer Category-1 (AD Cat-1) banks are fully permitted to issue **Letters of Credit (LCs)**, **Bank Guarantees (BGs)**, and **Trade Credit Guarantees** in favor of overseas branches or financial institutions, provided that these instruments are fully underwritten, backed by approved credit limits, and logged within the core banking system with the necessary capital adequacy reserves (typically a **100% credit conversion factor** applied to non-fund-based liabilities).

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- **Trade Volume Restrictions:**

Under the automatic route, trade credit transactions are capped at **USD 150 Million (or equivalent)** per import transaction. Any transaction exceeding this threshold requires explicit approval from the RBI's Foreign Exchange Department, accompanied by a comprehensive techno-economic justification and project viability analysis.

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Chapter 5: Credit Underwriting, Eligibility, and Operational Filters

Because Buyer's Credit involves the domestic bank taking on a major contingent liability—which immediately crystallizes into a direct fund-based debt if the importer defaults on usance maturity—banks execute a highly rigorous, multi-layered credit underwriting and risk appraisal process.

The underwriting process is divided into two distinct dimensions: **Borrower-Specific Credit Filters** and **Transaction-Backed Risk Appraisal**.

1. Borrower-Specific Credit Filters:

To qualify for a Buyer's Credit limit, an importing enterprise must satisfy strict credit metrics: (a) a minimum **2-year track record of active import operations** with clean custom records, (b) a minimum personal **CIBIL credit score of 700** for promoters and directors, and (c) a **CIBIL MSME Rank (CMR) between 1 and 4** for MSMEs, indicating low systemic credit default probability. Furthermore, the borrower's parent company must satisfy standard solvency benchmarks, including a **Current Ratio exceeding 1.33:1** (ensuring adequate net working capital under the Tandon Second Method of Lending) and a **Debt-to-Equity Ratio below 3:1**.

2. Transaction-Backed Risk Appraisal:

In addition to balance sheet analysis, banks analyze the trading ledger of the transaction. First, the credit officer evaluates the **Import-Export Code (IEC)** registration status and ensures the borrower is not on the RBI's Caution List or ECGC's defaulter list. Second, the bank assesses **invoice dilution risks**—evaluating past trade histories for quality returns, disputes, and price fluctuations. Third, the bank monitors **raw material price volatility** by applying dynamic margin haircuts (ranging from 10% to 25%) depending on the commodity being imported (e.g., higher margins are enforced on volatile commodities like copper or polymer resins, whereas standard industrial machinery requires lower margins).

3. Alternative Transactional Scoring Models:

To support New-To-Credit (NTC) importers who lack extensive collateral, modern banks utilize alternative transaction scoring models. These models evaluate real-time transaction indicators, including: (a) the borrower's **GST portal filings (GSTR-1 and GSTR-3B)** to assess active domestic sales velocity, (b) past letter of credit performance histories (ensuring zero past LC devolutions), and (c) the buyer-supplier relationship vintage (a continuous, dispute-free trading history of over 36 months acts as a powerful offset against rigid collateral requirements).

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Chapter 6: Legal Framework, Security Covenants & Trust Receipts

A Buyer's Credit facility is structured upon a highly integrated legal and security architecture designed to establish senior creditor rights and protect the bank from double-financing, trade diversion, and fraudulent asset disposal. The legal framework relies on three fundamental instruments: **The Transfer of Property Act, 1882**, **The SARFAESI Act, 2002**, and **The Factoring Regulation Act, 2011 (with 2021 Amendments)**.

The primary legal instruments and security structures include:

- **Section 130 of the Transfer of Property Act, 1882:**
This statutory provision governs the assignment of actionable claims. Under standard import credit terms, the domestic bank secures an assignment of all future receivables generated from the processing and sale of the imported raw materials. This ensures that the cash flows from these sales are contractually redirected to the bank's designated trade account, preventing the borrower from diverting sales revenues to outside accounts.

- **The Trust Receipt (TR) Mechanism:**
This is the cornerstone legal instrument for import finance. When the domestic bank releases the original shipping documents (Bill of Lading, Invoice) to the importer to facilitate customs clearance, the bank technically relinquishes physical possession of its primary security. To protect its legal rights, the importer executes a Trust Receipt. By signing the TR, the importer contractually acknowledges that: (a) the **bank remains the absolute legal owner of the goods** during transit, customs clearance, warehousing, and processing, (b) the importer holds the goods strictly as a **trustee** on behalf of the bank, and (c) all sales proceeds generated from the raw materials are held in trust and must be immediately swept into the bank's escrow account to repay the buyer's credit on maturity.

- **CERSAI Registration Mandate:**
Under the SARFAESI Act, 2002, the bank must register its security interest (charge over current assets, hypothecated stock, and book debts) with the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)**. This registration must be completed within a strict **30-day statutory window** from the date of the loan agreement or LC issuance. CERSAI registration establishes public, legally senior rights over the assets, effectively preventing the borrower from pledging the same cargo to another bank for dual financing.

- **Negative Covenants & Conditions Precedent:**
In line with Tata Capital's Master Terms & Conditions, banks enforce rigorous Conditions Precedent—such as obtaining a tax clearance certificate under Section 281(1)(ii) of the Income Tax Act, 1961. Additionally, borrowers must adhere to strict negative covenants, which prohibit: (a) declared dividend distributions if there are overdue trade payments, (b) mergers, acquisitions, or corporate restructurings without prior written bank consent, and (c) the creation of any secondary charges on current assets.

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Chapter 7: Commercial Mechanics, Interest Spreads (SOFR/RFRs) & FX Hedging

The pricing and commercial attractiveness of a Buyer's Credit facility are dictated by international money market conditions and currency volatility. Because the facility is funded offshore, the overall borrowing cost is structured in foreign currency (typically USD), which consists of: **The Benchmark Risk-Free Rate (SOFR)** + **Overseas Bank's Credit Spread** + **Domestic Bank's L/C Commission & Processing Fees** + **Active Forward Hedging Costs**.

Let's break down the individual commercial cost components:

1. Interest Rate Benchmarks (Post-LIBOR Landscape):

Historically, import finance was priced against LIBOR. Following the global benchmark transition, USD-denominated trade credit is priced against the **Secured Overnight Financing Rate (SOFR)**. Since SOFR is an overnight risk-free rate, banks utilize **Term SOFR** (available in 1-month, 3-month, and 6-month tenors) to compute the usance interest on a simple, daily reducing basis. The overseas bank applies an offshore credit spread (ranging from 80 to 200 bps, subject to the RBI cap of SOFR + 250 bps) depending on the domestic bank's credit rating and country-risk risk parameters.

2. Domestic Fees & Tax Applications:

The domestic issuing bank charges an LC opening commission (typically 0.50% to 1.50% p.a.) and structured processing fees. Under the **Central Goods and Services Tax (CGST) Act, 2017**, a standard GST of **18%** is applied strictly to all upfront bank processing fees, commission charges, and transmission fees. However, under standard Indian tax guidelines, the **core interest component and offshore discount charges are fully GST-exempt**, ensuring that the primary financing cost remains tax-efficient.

3. The Imperative of Foreign Exchange (FX) Hedging:

The single greatest risk in Buyer's Credit is the unhedged currency exchange rate. While a foreign currency loan offers significantly lower interest rates than local Rupee loans (e.g., USD SOFR-linked debt @ 6.8% vs. Rupee Cash Credit @ 9.5%), a sudden depreciation of the Rupee can instantly wipe out all interest savings. For example, if the Rupee depreciates by 3.0% against the USD during a 180-day usance period, the unhedged borrowing cost will increase by an annualized 6.0% in Rupee terms, resulting in a net financial loss.

To mitigate this, corporate treasurers utilize **Forward Exchange Contracts** to lock in the future exchange rate on Day 1. The cost of a Forward Contract is determined by the forward premium (reflecting the interest rate differential between the two currencies). If the forward premium is 3.5% p.a., the total hedged cost of the Buyer's Credit facility will equal the foreign interest rate plus the forward premium, which must be carefully audited against local Cash Credit rates to validate the economic arbitrage.

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Chapter 8: Risk Management, IDPMS Tracking & Crystallization Covenants

Due to the cross-border and foreign currency exposures involved, Buyer's Credit requires a highly robust risk-monitoring framework. The primary risk vectors are: **Regulatory Non-Compliance**, **Foreign Exchange Default**, **Transaction Devolvement**, and **Trade-Based Money Laundering (TBML)**.

The risk management architecture is supported by three primary systems:

- **Import Data Processing and Monitoring System (IDPMS):**
This is the RBI's centralized digital portal that monitors all import transactions in India. When a bank opens an LC or arranges trade credit, it registers the details in IDPMS. When the goods arrive, the customs department transmits the **Bill of Entry (BoE)** electronically to the IDPMS database. The AD Cat-1 bank must match the outward foreign remittance directly with the BoE. Under FEMA guidelines, if an importer fails to submit the BoE within **6 months** from the date of foreign remittance, they are flagged as a default in the IDPMS database, halting all future import transactions and leading to potential regulatory prosecution.

- **Overdue Crystallization Covenants:**
Under standard **Foreign Exchange Dealers' Association of India (FEDAI) rules**, when a buyer's credit matures, the payment to the overseas lender must be executed on the exact due date. If the importer's trade account lacks sufficient funds, the domestic bank cannot default on its SWIFT guarantee to the overseas bank. The domestic bank must immediately step in and pay the overseas lender. On that same day, the bank executes an automatic **Overdue LC Crystallization**, converting the foreign currency debt into a domestic Rupee-denominated demand loan. This conversion is executed at the bank's ruling **TT Selling Rate** (the highest exchange rate of the day, incorporating an adverse spread). The bank then applies overdue penal interest (typically **ECNOS + 2.0% to 5.0% penal spread**) and initiates debt recovery actions.

- **Default Loss Guarantee (DLG) & Digital Lending Rules:**
Where trade credit portals or digital fintech platforms arrange buyer's credit for MSMEs, they must comply with the strict **RBI Digital Lending Directions**. This includes: (a) a strict **5% cap on Default Loss Guarantee (DLG)** or first-loss arrangements, (b) the prohibition on accessing mobile phone resources (contacts, call logs, files), (c) **mandatory local server residency** for all credit and trade documents inside India, and (d) strict debt recovery fair practice hours (**8:00 AM to 7:00 PM**).

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Chapter 9: Real-World Case Study (Mumbai Plastics Ltd. - INR/USD Math)

To bridge the gap between financial theory and cross-border banking operations, we analyze a detailed, step-by-step mathematical case study of a Mumbai-based packaging manufacturing enterprise, **Mumbai Plastics Ltd. (MPL)**, importing a consignment of raw polymer resins from a global chemical supplier based in Houston, **Texaco Chemical Corporation (TCC)**.

The transaction details are established below:

- **Consignment Value: USD 500,000**
- Shipment Date (Bill of Lading): November 1, 2026
- Payment Term: Sight LC with a 180-Day Buyer's Credit option
- Day 1 Spot Exchange Rate: ₹84.00/USD
- Local Working Capital Cost (Cash Credit): 9.50% p.a. simple interest
- Collateral Margin Requirement: 10% Cash Margin (deposited into Fixed Deposit earning 6.50% p.a.)

Part I: Capital Procurement & Structured Cost of Credit

The importer accepts a Buyer's Credit Letter of Offer from the overseas branch of State Bank of India (SBI London) under the following terms:
- Principal Loan Value: USD 500,000 (settled at sight to TCC)
- usance Period: 180 Days (maturity date: April 30, 2027)
- Interest Rate: 3-Month USD Term SOFR (5.20% p.a.) + 130 basis points spread = **6.50% p.a. simple interest** (calculated on a 365-day basis)
- Upfront Arranger & Swift transmission Fee: 0.25% of principal + 18% GST
- Domestic LC Opening Commission: 0.80% p.a. + 18% GST
- Day 1 Cash Margin Blocked (10%): USD 50,000 (converted at ₹84.00/USD = **₹42,00,000**)

Let's calculate the upfront and usance cash outflows under two alternative strategic paths:

Path A (Unhedged Buyer's Credit - Assuming Rupee depreciates to ₹85.50/USD):

1. Upfront Domestic LC Commission:

LC Commission = Principal (USD 500,000) × 0.80% p.a. × 180 / 365 = USD 1,972.60.
Conversions at Day 1 Spot Rate (₹84.00/USD): USD 1,972.60 × ₹84.00 = ₹1,65,698.
LC Commission GST (18%) = ₹1,65,698 × 0.18 = **₹29,826**.
Total LC Commission Cost (with GST) = ₹1,65,698 + ₹29,826 = **₹1,95,524**.

2. Upfront Arranger & SWIFT Fee:

Arranger Fee = USD 500,000 × 0.25% = USD 1,250.
Conversions at Day 1 Spot Rate: USD 1,250 × ₹84.00 = ₹1,05,000.

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Arranger Fee GST (18%) = ₹1,05,000 × 0.18 = **₹18,900**.
Total Arranger Cost (with GST) = ₹1,05,000 + ₹18,900 = **₹1,23,900**.

3. Usance Maturity Interest Outflow (Foreign Currency):

Maturity Interest = Principal (USD 500,000) × 6.50% p.a. × 180 / 365 = **USD 16,027.40**.
Note: Under standard Indian tax guidelines, this offshore interest is **fully GST-exempt**.

4. Total Repayment Outflow on Day 180 (USD)::

Total USD Repayment = Principal (USD 500,000) + Interest (USD 16,027.40) = **USD 516,027.40**.

5. Total Outflow in Rupees (at unhedged adverse rate of ₹85.50/USD):

Unhedged Rupee Repayment = USD 516,027.40 × ₹85.50 = **₹4,41,20,343**.
Plus Upfront Fees (Commission + Arranger) = ₹1,95,524 + ₹1,23,900 = **₹3,19,424**.
Minus Interest Earned on 10% Cash Margin (₹42 Lakhs FD @ 6.50% p.a. over 180 days) = **-₹1,34,548**.
Net Unhedged Rupee Outflow = **₹4,43,05,219**.

Path B (Fully Hedged Buyer's Credit - Utilizing Forward Contract @ ₹84.60/USD):

1. Upfront Fees & LC Commissions:

Identical to Path A = **₹3,19,424**.

2. Rupee Repayment value (at locked Forward Rate of ₹84.60/USD):

Hedged Rupee Repayment = USD 516,027.40 × ₹84.60 = **₹4,36,55,918**.

3. Net Hedged Rupee Outflow (incorporating Margin FD interest of -₹1,34,548):

Net Hedged Rupee Outflow = ₹4,36,55,918 + ₹3,19,424 - ₹1,34,548 = **₹4,38,40,794**.

Part II: Strategic Underwriting & Comparative Arbitrage Audit

To evaluate whether the Buyer's Credit facility provides actual economic value, the corporate treasurer compares these structures with standard local financing: **drawing the equivalent Rupee funds directly from a local bank's Cash Credit (CC) account @ 9.50% p.a. simple interest over 180 days**.

Let's compute the Local Cash Credit Outflow:
Local CC Funding Principal = USD 500,000 × ₹84.00 Spot Rate = **₹4,20,00,000 (₹4.2 Crores)**.
CC Interest Outflow = ₹4,20,00,000 × 9.50% p.a. × 180 / 365 = **₹19,67,671**.
Upfront Processing Fee (0.15% flat + 18% GST) = (₹4,20,00,000 × 0.15%) × 1.18 = **₹74,340**.

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Total Cash Credit Outflow = Principal (₹4,20,00,000) + Interest (₹19,67,671) + Fees (₹74,340) = **₹4,40,42,011**.
Note: Under the local CC route, no cash margin is blocked, hence there is zero FD interest income.

★ Strategic Treasury Audit Matrix:

• Local Cash Credit Cost: **₹4,40,42,011**
• Path A (Unhedged Buyer's Credit): **₹4,43,05,219** *(Result: Net Financial Loss of -₹2,63,208 due to unhedged Rupee depreciation!)*
• Path B (Fully Hedged Buyer's Credit): **₹4,38,40,794** *(Result: Net Treasury Saving of **+₹2,01,217** after accounting for the Forward premium!)*

★ Key Educational Takeaway:

This comparison highlights the critical risk of currency depreciation. The unhedged Buyer's Credit route resulted in a financial loss despite a lower initial interest rate. However, by executing a Forward contract (Path B), the treasury department successfully converted currency volatility into a controlled forward premium, locking in a clear **₹2,01,217 net profit** while securing vital raw materials from Texaco Chemical Corporation.

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Chapter 10: Practice Examination & Test Questions (10 Comprehensive Modules)

This chapter contains a rigorous, scenario-based practice examination designed specifically to evaluate a rookie's conceptual mastery of Buyer's Credit. Going through these questions will validate understanding of regulatory usance caps, interest benchmarks, CERSAI filing rules, crystallization mechanics, and currency hedging calculations.

Question 1 (FEMA Regulatory usance Caps)

An Indian manufacturing enterprise is importing heavy industrial CNC machinery (capital goods) from Germany. Under the current RBI Master Directions on Trade Credit, what is the maximum permissible usance tenure for a Buyer's Credit facility arranged for this import?
A) Maximum of 90 days from the date of custom clearance.
B) Maximum of 1 year (365 days) from the date of shipment.
C) Maximum of 3 years (1,095 days) from the date of shipment.
D) Capped at 5 years (1,825 days) under the Priority Sector Lending guidelines.

Correct Option: C.
★ Rationale & Analysis:
Under the current RBI Master Directions on Trade Credit, the maximum usance tenure for trade credits is strictly mapped to the asset class. For **capital goods**, the tenure is capped at **3 years (1,095 days)** from the shipment date. For non-capital goods (raw materials, components, consumables), the tenure is capped at **1 year (365 days)**.

Question 2 (Interest Rate Ceiling Calculation)

An overseas branch of an Indian bank quotes an interest rate for a USD-denominated trade loan. If the prevailing 3-Month USD Term SOFR is 5.25% p.a., what is the maximum all-in-cost interest rate (including arranger and booking fees) that the bank can legally charge under RBI guidelines?
A) 5.25% p.a. flat, as banks cannot add spreads over Risk-Free Rates.
B) Maximum of 7.75% p.a. (SOFR + 250 basis points spread).
C) Maximum of 8.75% p.a. (SOFR + 350 basis points spread).
D) Capped at the domestic bank's Repo rate + 2.0% spread.

Correct Option: B.
★ Rationale & Analysis:
Under the RBI trade credit directives, the all-in-cost ceiling for foreign currency trade credit (both Buyer's and Supplier's Credit) is capped at the **Risk-Free Rate (RFR) + 250 basis points (2.50% p.a.)**. For a SOFR of 5.25% p.a., the legal ceiling is exactly 5.25% + 2.50% = **7.75% p.a.**

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Question 3 (The Trust Receipt Legal Framework)

Why must an importer execute a 'Trust Receipt' (TR) in favor of the domestic issuing bank before the bank releases the original shipping documents for customs clearance?

A) To transfer the GST liability of the import from the importer to the bank's escrow account.

B) To contractually establish that the bank remains the absolute legal owner of the cargo while in transit and processing, and that all sales proceeds are held in trust for the bank.

C) To satisfy the statutory audit requirements of the Insolvency and Bankruptcy Code (IBC), 2016.

D) To register a first charge with the local Municipal Corporation under the Transfer of Property Act.

Correct Option: B.

★ Rationale & Analysis:

When the bank releases shipping documents (the document of title), it technically loses physical control of its security. The **Trust Receipt (TR)** is a powerful legal instrument that contractually establishes that the importer holds the cargo strictly as a **trustee** on behalf of the bank, and that all subsequent sales proceeds are legally owned by the bank and must be immediately swept to repay the trade loan.

Question 4 (Overdue crystallization Mechanics)

On the usance maturity date of a USD 100,000 Buyer's Credit facility, the importer's account lacks sufficient funds. Under FEDAI guidelines and standard trade practices, how must the domestic issuing bank handle this default?

A) The bank must declare the importer a Wilful Defaulter and initiate immediate liquidation in NCLT.

B) The bank must request the overseas lender to extend the trade loan tenure by another 365 days.

C) The bank must immediately pay the overseas lender under its SWIFT guarantee, crystallize the foreign debt into a Rupee demand loan at the ruling TT Selling Rate, and charge overdue penal interest.

D) The bank must wait for a 90-day grace period before taking any action under the IRACP guidelines.

Correct Option: C.

★ Rationale & Analysis:

Under FEDAI guidelines, a bank cannot default on its SWIFT guarantee to the overseas lender. The domestic bank must pay the overseas branch immediately. On the same day, the bank executes an **automatic crystallization**, converting the foreign debt into a local Rupee-denominated demand loan using the adverse **TT Selling Rate**, and applies overdue penal interest charges.

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Question 5 (IDPMS Compliance Timelines)
Under standard RBI Foreign Exchange Management Act (FEMA) guidelines, what is the maximum statutory period within which an importer must submit their Bill of Entry (BoE) to match and close an import remittance in the IDPMS database?
A) Within 30 days from the date of the loan agreement.
B) Within 6 months (180 days) from the date of foreign remittance.
C) Within 3 years, matching the capital goods depreciation cycle.
D) Strictly on the shipment date, matching the Bill of Lading.

Correct Option: B.
★ Rationale & Analysis:
To prevent trade-based money laundering and capital flight, the RBI's **IDPMS portal** requires all outward import remittances to be matched with a corresponding Bill of Entry (customs document) within **6 months** from the date of foreign remittance. Failure to do so leads to the importer being caution-listed, blocking all future trade transactions.

Question 6 (The 2018 Regulatory Shift)
What was the primary systemic cause for the RBI's absolute ban on Letters of Undertaking (LoUs) and Letters of Comfort (LoCs) in March 2018?
A) High global LIBOR rates that made offshore trade credit unviable.
B) Systemic credit fraud where SWIFT terminals were used to transmit unbacked, off-ledger guarantees without corresponding entries in the Core Banking System (CBS).
C) An increase in GST rates on bank processing fees under the CGST Act, 2017.
D) The transition from physical bills of exchange to the electronic TReDS platform ecosystem.

Correct Option: B.
★ Rationale & Analysis:
The March 2018 ban was triggered by the discovery of major fraud at Punjab National Bank, where unauthorized personnel issued unbacked SWIFT **LoUs** (primarily via MT799/MT760) without linking them to the CBS. This created billions in off-ledger contingent liabilities. The RBI banned LoUs/LoCs to force banks to route all trade support through underwritten, CBS-integrated instruments like Usance LCs.

Question 7 (GST Applicability on Trade Credit)
Under the Central Goods and Services Tax (CGST) Act, 2017, how are taxes applied to the various cost components of a Buyer's Credit facility in India?
A) A flat 18% GST is applied to the entire invoice value, including the raw materials.
B) An 18% GST is applied strictly to upfront bank processing fees, commissions, and transmission fees, while the core usance interest component remains GST-exempt.

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C) The entire facility (including interest and arranger fees) is fully GST-exempt under SEZ rules.
D) A 12% GST is applied strictly to the usance interest component, while bank processing fees are taxed at 18%.

Correct Option: B.
★ Rationale & Analysis:
In India, **financial interest is fully GST-exempt**. Therefore, the usance interest charged by the overseas bank is GST-free. However, all bank **services**—including domestic LC opening commissions, arranger fees, SWIFT transmission fees, and processing charges—are taxable service supplies and carry a **18% GST**.

Question 8 (RBI CERSAI filing rules)
Under the SARFAESI Act, 2002, what is the mandatory statutory period within which a domestic bank must register its hypothecated charge over the imported current assets on the CERSAI portal?
A) Within 10 days from the date of custom clearance.
B) Within 30 days from the date of the loan agreement or LC issuance.
C) Capped at 90 days, matching the usance maturity period.
D) Strictly on the date of final maturity of the trade credit.

Correct Option: B.
★ Rationale & Analysis:
To establish public legal seniority and prevent fraudulent 'double-financing' (pledging the same cargo to multiple banks), lenders must register their security interest (hypothecation charge over current assets and book debts) with the **CERSAI registry within 30 days** of creating the charge.

Question 9 (The Logic of Currency Hedging)
An importer is evaluating a USD Buyer's Credit line @ 6.50% p.a. vs. a local Rupee Cash Credit line @ 9.50% p.a. over a 180-day usance tenure. If the forward premium for USD/INR is quoted at 3.50% p.a., what is the total hedged cost of the Buyer's Credit facility, and should the treasurer select it?
A) Total hedged cost is 6.50% + 3.50% = 10.00% p.a.; the treasurer should select the local CC line instead.
B) Total hedged cost is 6.50% p.a. as the forward premium is refunded; select Buyer's Credit.
C) Total hedged cost is 3.50% p.a. flat; select Buyer's Credit.
D) Total hedged cost is 6.50% - 3.50% = 3.00% p.a.; select Buyer's Credit.

Correct Option: A.

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★ Rationale & Analysis:
The total borrowing cost of a hedged foreign currency trade loan equals the **offshore interest rate + the annualized forward premium**. Here, the total hedged cost is **10.00% p.a. (6.5% interest + 3.5% premium)**. Since this is higher than the local Cash Credit rate of **9.50% p.a.**, the treasurer should select the local Rupee CC line because it is more cost-effective once exchange risks are fully mitigated.

Question 10 (RBI Trade Credit Limit Route)
Under the standard RBI automatic route for trade credits, what is the maximum transaction limit per individual import transaction that can be processed without requiring explicit prior approval from the RBI Foreign Exchange Department?
A) Capped at USD 10 Million per transaction.
B) Capped at USD 50 Million per transaction.
C) Capped at USD 150 Million (or equivalent) per transaction.
D) Capped at USD 500 Million per transaction under priority guidelines.

Correct Option: C.
★ Rationale & Analysis:
Under current RBI guidelines, AD Cat-1 banks can process import trade credits up to **USD 150 Million (or equivalent)** per individual transaction under the automatic route. Any import trade loan exceeding this limit requires a formal application and explicit prior approval from the Reserve Bank of India.

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